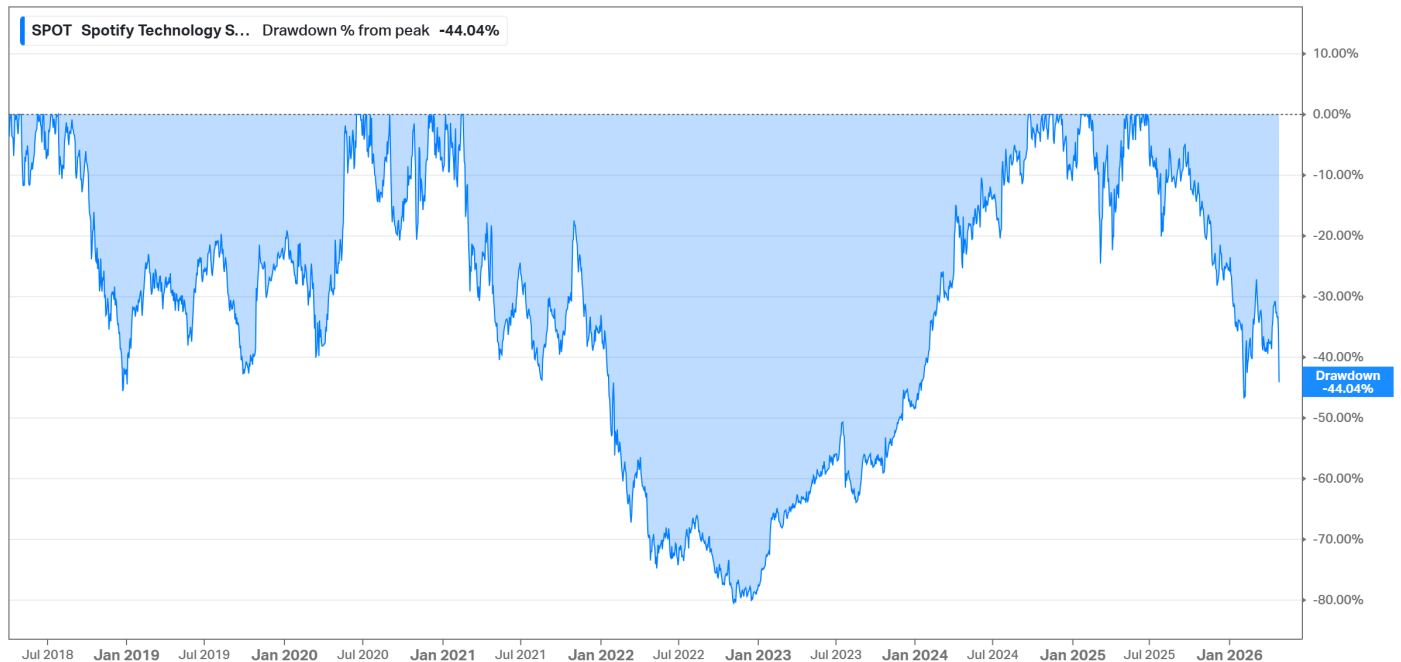


BY MBI DEEP DIVES IN SPOT — APR 29, 2026

Spotify 1Q'26: Recalibrating Expectations

I didn't realize until yesterday that Spotify is actually currently approaching its second worst drawdown since becoming a public company as the stock has experienced a drawdown of ~44% so far from its peak in June, 2025! At the same time, now that I have been following this company for nearly five years, I don't remember a time the company was better positioned. The reality is the stock just went a bit ahead of its results last year and investors are likely just re-calibrating their expectations.

I'll go through the quarterly numbers, some key takeaways from the earnings call, and my current commentary on valuation behind the paywall.



Source: KoyFin (MBI Deep Dives readers get 20% discount; just click [here](#))

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From 100 million Premium subscribers to get to 200 million Premium Subscribers, Spotify took 15.5 quarters. Then from 200 million to 300 million (expected to reach right after 2Q'26), it will be about 14 quarters. However, as the base is getting larger, the growth rate YoY in Premium subscribers has entered HSD range for the first time in Spotify's history.

Quarter	1Q'22	2Q'22	3Q'22	4Q'22	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	2Q'26E
Premium Subscribers	182	188	195	205	210	220	226	236	239	246	252	263	268	276	281	290	293	299
Net add QoQ	2	6	7	10	5	10	6	10	3	7	6	11	5	8	5	9	3	6
Growth YoY%	15.2%	13.9%	13.4%	13.9%	15.4%	17.0%	15.9%	15.1%	13.8%	11.8%	11.5%	11.4%	12.1%	12.2%	11.5%	10.3%	9.3%	8.3%
MAU	422	433	456	489	515	551	574	602	615	626	640	675	678	696	713	751	761	778
Net add	16	11	23	33	26	36	23	28	13	11	14	35	3	18	17	38	10	17
Premium as % of MAU	43.1%	43.4%	42.8%	41.9%	40.8%	39.9%	39.4%	39.2%	38.9%	39.3%	39.4%	39.0%	39.5%	39.7%	39.4%	38.6%	38.5%	38.4%

Source: Company Filings, MBI Deep Dives, Daloopa

Revenue from premium subscription, however, is still growing at mid-teen (FXN) range. Spotify has been raising price at regular intervals in recent years: July 2023, July 2024, and January 2026. Cumulatively, from the baseline December 2022 prices, individual subscription prices in the US increased by +30.0%, Duo by +46.2%, Family by +37.5%, and Student plan by +40.1%. While that may seem excessive, it is worth remembering that the price was fixed for **12 years!** That also partly explains why churn has been quite stable despite such noticeable price increase.

Quarter	1Q'22	2Q'22	3Q'22	4Q'22	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	2Q'26E
Premium Revenue	2,379	2,504	2,651	2,717	2,713	2,773	2,910	3,170	3,247	3,351	3,516	3,705	3,771	3,740	3,826	4,013	4,148	
Growth YoY%	23.2%	21.8%	21.7%	18.4%	14.0%	10.7%	9.8%	16.7%	19.7%	20.8%	20.8%	16.9%	16.1%	11.6%	8.8%	8.3%	10.0%	
FXN Growth YoY%	18.0%	14.0%	13.0%	13.0%	13.0%	14.0%	16.0%	21.0%	21.0%	22.0%	24.0%	19.0%	16.0%	16.0%	13.0%	14.0%	15.0%	
Ads	282	360	385	449	329	404	447	501	389	456	472	537	419	453	446	518	385	
Growth YoY%	30.6%	30.9%	19.2%	14.0%	16.7%	12.2%	16.1%	11.6%	18.2%	12.9%	5.6%	7.2%	7.7%	-0.7%	-5.5%	-3.5%	-8.1%	
Ads as % of total revenue	10.6%	12.6%	12.7%	14.2%	10.8%	12.7%	13.3%	13.6%	10.7%	12.0%	11.8%	12.7%	10.0%	10.8%	10.4%	11.4%	8.5%	
Total Revenue	2,661	2,864	3,036	3,166	3,042	3,177	3,357	3,671	3,636	3,807	3,988	4,242	4,190	4,193	4,272	4,531	4,533	4,800
Growth YoY%	23.9%	22.9%	21.4%	17.7%	14.3%	10.9%	10.6%	16.0%	19.5%	19.8%	18.8%	15.6%	15.2%	10.1%	7.1%	6.8%	8.2%	14.5%
Growth FXN YoY%	19.0%	15.0%	12.0%	12.0%	13.0%	14.0%	17.0%	20.0%	21.0%	21.0%	21.0%	17.0%	15.0%	15.0%	12.0%	13.0%	14.0%	

Source: Company Filings, MBI Deep Dives, Daloopa

Spotify is also taking some interesting approach in raising ARPU and monetizing AI features in a more lower ARPU regions. Take their recent plans in India, for example. Their recently launched highest tier plan in India costs ₹299/month which is 115% higher than the Lite plan. Before Spotify launched these three tiers in November 2025, they had only one premium subscription plan for individuals that cost ₹139/month. By introducing two separate tiers within Premium, Spotify now has moved some of the features to Standard tier and all the AI features in the Platinum tier. This is effectively a roundabout way to increase prices and monetize their AI features. During the call, management was asked about the reception of these tiers. Management said it was too early to discuss, but they are “positive about it”. Spotify launched these tiered plans in five different markets. If these “pilots” are successful, I think we may see much broader release of such pricing plans, especially in lower ARPU regions. Ultimately, it’s economically ruinous to let subscribers use AI features in a very low ARPU region unless they can monetize it directly. I’m curious to see if YouTube makes all the AI features available for free in such low ARPU regions which may have an impact on Spotify’s ability to monetize such AI features.

The image shows three vertical panels for Spotify Premium subscription plans. Each panel has a Spotify logo and the word 'Premium' at the top. The 'Lite' panel is on the left, 'Standard' in the middle, and 'Platinum' on the right. Each panel lists features, a price, and a call-to-action button. The 'Standard' panel also includes a 'One-time payment' option.

Plan	Price	Features	Call-to-Action
Premium Lite	₹139 / month	1 Lite account - High audio quality (up to ~160kbps) - Cancel anytime	Get Premium Lite
Premium Standard	₹199 for 2 months ₹199/month after	1 Standard account - Very high audio quality (up to ~320kbps) - Cancel anytime - Subscribe or one-time payment	Try 2 months for ₹199 One-time payment
Premium Platinum	₹299 / month	- Up to 3 Platinum accounts - Lossless audio quality (up to ~24-bit/44.1kHz) - Mix your playlists - Your personal AI DJ - AI playlist creation - Connect your DJ software - Cancel anytime	Get Premium Platinum

Terms apply.

₹199 for 2 months, then ₹199 per month after. Offer only available if you haven't tried Premium before. [Terms apply.](#)

For up to 3 individuals residing at the same address. [Terms apply.](#)

The audiobook addition within Premium subscription also finally allowed Spotify to benefit from the natural power law of consumption that they see in their product which is hard to capture in any fixed subscription plan. From yesterday's call (emphasis mine):

"I think one useful model to think about, not just Spotify, actually all consumer products is that people talk about averages, your average usage and so forth, but almost nothing is an average. It's almost always a power law. You have a long tail of users who use something a little and then you have a head of people who use it a lot.

And so Spotify always had the business model to capture the long tail, which requires a free tier and to capture a bunch of the averagely engaged users in premium. But **until we launched audiobooks add-on, we didn't really have a tool to capture the head, the people who wanted to read for hundreds of hours a month. We had a clear theory that we could capture the entire power law, but we hadn't proven it to ourselves until recently.**"

As you can see below, Premium segment's gross margin remained in the mid-30s in 1Q'26. Three years ago, I'm not sure even the biggest Spotify bulls would dare to dream such margins.

Quarter	1Q'22	2Q'22	3Q'22	4Q'22	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	2Q'26E
Gross Margin	25.4%	24.4%	24.5%	24.6%	25.5%	24.8%	25.3%	25.1%	26.9%	27.6%	29.5%	30.3%	30.1%	29.5%	29.7%	30.9%	31.9%	33.1%
Premium Gross Margin	28.4%	28.0%	28.0%	0.0%	29.0%	28.0%	29.1%	29.1%	30.2%	31.4%	33.5%	34.7%	33.5%	33.1%	33.2%	34.8%	34.8%	
Ads Gross Margin	-1.4%	1.1%	1.8%	5.1%	-3.0%	-5.7%	8.3%	11.6%	6.4%	13.4%	13.1%	15.1%	15.3%	18.3%	18.4%	19.5%	13.0%	

Source: Company Filings, MBI Deep Dives, Daloopa

At the same time, perhaps even the biggest bears wouldn't think the ads business and associated gross margins would perform as bad as it did in the last three years.

Thankfully for Spotify bulls, ads is just ~10% of the business, so Spotify's failure didn't really matter. Ad revenue declined for four consecutive quarters and gross margin was only ~13% in 1Q'26. However, the next leg of bull case and further noticeable margin expansion might rest on emergence of ad business. Spotify management clearly believes that it is possible. Some key excerpts from the call on Spotify's ad business (emphasis mine):

I know we continue to talk about our ads business as a work in progress, but the key point is that 1.5 years of rebuilding, the foundation is now in place. Brands have always valued Spotify for its high user engagement, its beloved brand and its high-quality content. But the market shifted with advertisers now favoring biddable buying. We had to evolve to capture that TAM. So **we've rebuilt our stack end-to-end. Now while this creates some short-term pressure, it unlocks a much larger opportunity.** We are making solid progress.

Today, **biddable represents more than 1/3 of ad revenue**, and it's growing quickly. So with biddable expanding and also our active advertisers growing, coupled with improvements in our measurement and performance, we can now innovate in the way -- in new ways the old stack never allowed. This finally lets us better capture the value of our audience.

We also saw some continued choppiness in our legacy direct sales channel. While this dynamic will likely continue in the near term, we still expect improved growth in

the second half of 2026 as our biddable channels continue to scale.

Now that transition is done. So now it's about execution. It's about patience. And really, what you have to believe for this to work out for us are a couple of different things. But mainly, it's **whenever we have seen increased time spent on Spotify and quality time to boot, right, and then there's a gap to monetization. Typically, that gap will close. It's a question of time**, whether it's like you're thinking about it as like advertising as a category, whether it's inside a company, the gap will close. It's just a matter of time.

The other things you need to believe in is that really this rebuilt new stack that we have, it actually gives us more opportunity to do new things that we couldn't do before. And obviously, that our measurement and performance shows that Spotify delivers as a brand.

Perhaps the most impressive thing about Spotify over the last four years is how lean the business has become. In nine out of the last eleven quarters, their opex actually went down YoY. Back in 3Q'22, Spotify's LTM Gross Profit was EUR 2.8 Billion. They nearly doubled the LTM gross profit from 3Q'22 to 1Q'26 and yet, the opex is largely flat. **Pay close attention to the true economics of scaled consumer internet companies.** We may have all started to forget this reality during the ZIRP era but growth at these businesses can come at an eye watering incremental margins.

Quarter	1Q'22	2Q'22	3Q'22	4Q'22	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26
R&D	250	336	386	415	435	453	369	468	389	379	342	376	379	415	309	290	331
As % of Gross Profit	37.3%	47.7%	51.5%	51.8%	56.8%	59.1%	41.7%	47.8%	38.7%	34.1%	27.6%	27.5%	28.6%	31.4%	22.9%	19.3%	22.1%
S&M	296	391	432	453	347	399	355	432	324	343	332	393	314	364	349	399	342
As % of Gross Profit	44.1%	55.5%	57.6%	56.6%	45.3%	52.1%	40.1%	44.1%	32.3%	30.8%	26.8%	28.7%	23.7%	27.6%	25.8%	26.6%	22.9%
G&A	131	171	160	164	140	161	129	155	123	124	112	122	124	135	111	109	107
As % of Gross Profit	19.5%	24.3%	21.3%	20.5%	18.3%	21.0%	14.6%	15.8%	12.3%	11.2%	9.0%	8.9%	9.4%	10.2%	8.2%	7.3%	7.2%
Total Opex	677	898	978	1,032	922	1,013	853	1,055	836	846	786	891	817	914	769	798	780
Growth YoY%	26.8%	37.9%	64.9%	43.5%	36.2%	12.8%	-12.8%	2.2%	-9.3%	-16.5%	-7.9%	-15.5%	-2.3%	8.0%	-2.2%	-10.4%	-4.5%
LTM Opex	2,640	2,887	3,272	3,585	3,830	3,945	3,820	3,843	3,757	3,590	3,523	3,359	3,340	3,408	3,391	3,298	3,261
Growth YoY%	12.2%	22.4%	35.1%	43.6%	45.1%	36.6%	16.7%	7.2%	-1.9%	-9.0%	-7.8%	-12.6%	-11.1%	-5.1%	-3.7%	-1.8%	-2.4%
EBIT	(6)	(194)	(228)	(231)	(156)	(247)	32	(75)	168	266	454	477	509	406	582	701	715
EBIT Margin	-0.2%	-6.8%	-7.5%	-7.3%	-5.1%	-7.8%	1.0%	-2.0%	4.6%	7.0%	11.4%	11.2%	12.1%	9.7%	13.6%	15.5%	15.8%
As % of Gross Profit	-0.9%	-27.6%	-30.4%	-28.8%	-20.4%	-32.2%	3.6%	-7.7%	16.7%	23.9%	36.6%	34.9%	38.4%	30.8%	43.1%	46.8%	47.8%

Source: Company Filings, MBI Deep Dives, Daloopa

One wrinkle to marginal cost is, of course, AI. And Spotify did mention while their headcount is flat to declining, compute per headcount is rising. As indicated earlier, while AI does have much higher than zero marginal cost, Spotify mentioned AI has also been helping to personalize user experience in a way that was simply not possible before. 94 million Premium subscribers use “AI DJ” feature and 52 million used “SongDNA” feature just four weeks after the launch. Management says these features are driving higher retention and hence, higher LTV. Spotify plans to train its own model based on their two decades of data, and it’s not hard to imagine as personalization becomes even more embedded thanks to AI, consumers may face more inertia than ever more to switch to another music streaming service. From the call (emphasis mine):

As always, early adoption and deep usage is coming from our power users. But what’s changed is how quickly we can learn from that behavior, refine the experience and scale it to a broader audience, delivering improvements faster and at a fraction of the historical cost. And all of this benefits LTV. We’re particularly excited about taste profile now in beta. It gives users a clear view of how Spotify models their listening across music, podcasts, and audiobooks and puts them in the driver’s seat, allowing them to directly edit and refine their profile. So imagine telling Spotify to include more songs by those 2 artists my kids are obsessed with or maybe the opposite, actually exclude those 2 artists or add a classical shelf to my homepage. **This level of nuanced control empowers users like never before.**

I talked last time about the large personalization model, which is a model that we’re training from -- based on open source models, but it’s trained on our proprietary data. **This is not something that we rent from someone. This is something we’re building in-house.** And the casual name for the large personalization model is a taste model. Why is that important? It is because it turns out that taste is actually not a fact. It is an opinion, and it differs between people, between markets, between use cases and activities. So that is the kind of usage that we were hoping to see in prompted playlist in AI DJ, and that’s exactly what we are seeing, **very advanced usage that is giving us the type of data we never had before.** And now we’re just heads down serving those use cases better than anyone else.

we are training rather large models in-house, because we have lots and lots of

unique data that no one else has. For example, large personalization model, which is not something that you can rent or buy off the Internet. You literally need 700 million-plus people every day using the platform to be able to say what is trending in a certain region in India right now.

Spotify is also thinking about creating AI features to serve existing artists. They seem to be in active negotiation with records holders, but once they solve it, I expect to see more AI creative features within Spotify. From the call:

The way to think about it is that the generative market, for example, for music is really 2 things. It's net new music, which is happening at scale and quickly increasing the catalog. And that **we think is good for a company that aggregates content because it makes the recommendation problem even more important.** I think it's worth thinking about.

Many creators are using AI to make new music, but existing creators cannot join. That's because the copyright problem is much more complicated to solve well and the **attribution problem of who should get paid what is much harder.** But we love hard problems. So that's the problem we want to go after. We want to take this opportunity to existing creators as well with derivatives of existing IP. So as I've said before, we have the capabilities and technologies we need. We are the right company to solve this problem, and we think that existing creators should participate in AI just as well as new creators.

Indeed, I reject the idea that AI is negative for aggregators such as Spotify who already have user attention. Given the data Spotify has, they are highly likely to be beneficiary of Cambrian explosion of music in the post-AI world since recommendation algorithm becomes even more important.

Overall, I think Spotify is very well positioned in the age of AI. The most recent drawdown is largely due to investors having too high expectations. The stock still trades at ~12x LTM EV/GP multiple. I'm going to be much more interested in the stock at ~10x EV/GP. Since I think Spotify can convert half of its GP into EBIT, a ~10x GP implies ~20x EBIT and ~25x P/E. With at least mid-teens earnings growth potential in

the next 3-5 years, that would be an attractive entry point. Spotify has an Investor Day coming on May 21st. I will pay close attention and do more serious valuation work by updating my model following the Investor Day.



Source: KoyFin (MBI Deep Dives readers get 20% discount; just click [here](#))

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My current portfolio is disclosed below:

Ticker	Avg. Cost	Current Weight*	Unrealized Gain (loss) %	First Bought	First Buy Price	Last Bought	Last Buy Price	Last Sold	Last Sell Price
META	446.9	33.6%	50.2%	Aug'18	172.8	Mar'26	600.0	Sep'25	767.6
ABNB	119.6	30.4%	16.3%	Apr'25	100.0	Feb'26	127.6	N/A	N/A
GOOGL	192.9	14.4%	81.3%	Apr'25	149.8	Mar'26	295.3	N/A	N/A
FND	51.1	9.0%	-3.3%	Mar'26	50.3	Apr'26	47.0	N/A	N/A
CNSWF	2,257	5.2%	-21.2%	Mar'22	1,733.8	Mar'26	1,800.0	Apr'25	3,350
RYAN	35.3	3.5%	-1.6%	Mar'26	35.3	Mar'26	35.3	N/A	N/A
VEEV	198.0	3.4%	-20.0%	Jan'26	220.0	Apr'26	150.8	N/A	N/A
AMZN	137.4	2.1%	89.0%	Feb'20	91.0	May'25	186.9	Apr'26	260.7
Cash		-1.6%							
Total		100.0%							

**Based on closing prices as of April 28, 2026 (time-weighted YTD: -2.7%); Since inception (August 24, 2018) time-weighted annualized return CAGR +15.3%*

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